

Cumulus Bank

Wealth management from Cumulus Bank



WEALTH MANAGEMENT · TRUST SERVICES

WM-TRU-CHR-2026.04 · Effective April 25, 2026

PRODUCT BROCHURE · CHARITABLE PLANNING

Cumulus Charitable Trusts

Trustee and administrative services for charitable remainder trusts (CRT), charitable lead trusts (CLT), and pooled income funds — planning techniques for donors seeking income-tax, capital-gain, and transfer-tax efficiencies alongside philanthropic impact.

STRUCTURES SUPPORTED	CRAT, CRUT, NICRUT, NIMCRUT, CLAT, CLUT
ROLE AVAILABLE	Trustee · Co-trustee · Successor trustee
ANNUAL FEE SCHEDULE	Same tiered rate as Trust Administration
MINIMUM ANNUAL FEE	\$5,000
AUTHORITY	IRC §664 (CRT) · IRC §170(f)(2)(B) (CLT)
PAYOUT RANGE — CRT	5% to 50% annually (IRC §664(d))
10% REMAINDER TEST	Minimum 10% actuarial value to charity
PROBABILITY-OF-EXHAUSTION TEST	5% threshold under Rev. Rul. 77-374

AT A GLANCE

Overview

A charitable trust is an irrevocable vehicle in which a donor divides the economic interest in contributed property between non-charitable beneficiaries (typically the donor or family members) and one or more qualified charitable organizations. Charitable remainder trusts pay an annuity or unitrust amount to non-charitable beneficiaries first, with the remainder passing to charity. Charitable lead trusts do the opposite: charity receives the current payments, and the remainder returns to family.

Investment products are not FDIC insured, not bank guaranteed, and may lose value. The tax benefits of charitable trusts depend on proper drafting, qualified charitable beneficiaries, and ongoing compliance; discuss your circumstances with your Cumulus advisor, attorney, and tax professional.

INTEGRATED PLANNING

Why consider a charitable trust

CURRENT INCOME-TAX DEDUCTION Current income-tax deduction A charitable deduction equal to the present value of the charity's interest is available in the year of funding, subject to adjusted-gross-income percentage limits (generally 30% for gifts to public charities of appreciated long-term capital-gain property).	CAPITAL-GAIN DEFERRAL OR AVOIDANCE Capital-gain deferral or avoidance A CRT does not recognize gain when it sells appreciated property contributed by the donor, enabling diversification of a concentrated position without immediate tax recognition.
ESTATE-TAX EXCLUSION Estate-tax exclusion Assets transferred to a properly-structured charitable trust are removed from the donor's taxable estate; remainder interests to charity qualify for the unlimited charitable estate-tax deduction under IRC §2055.	INCOME STREAM TO NON-CHARITABLE BENEFICIARIES Income stream to non-charitable beneficiaries A CRT provides a lifetime or term-certain income stream to the donor, spouse, or designated family members — often a useful component of retirement-income planning.
LEVERAGED GIFT TO FAMILY (CLT) Leveraged gift to family (CLT) A charitable lead annuity trust in a low-$\\$7520$-rate environment can transfer the trust's ending principal to family with minimal gift-tax consequence.	PHILANTHROPIC IMPACT Philanthropic impact Enables the donor to support qualified public charities or a family private foundation with sizable commitments while integrating the gifting with income and estate planning.

IRC §664

Charitable remainder trusts

A charitable remainder trust is a split-interest trust that pays a fixed or variable amount to one or more non-charitable beneficiaries for a term of years (up to 20) or for the lives of the beneficiaries, with the remainder passing to one or more qualified charities. The trust is tax-exempt, and gains on the sale of contributed property are not recognized at the trust level. Payments to non-charitable beneficiaries carry out the trust's income under the four-tier system of IRC §664.

STRUCTURE	PAYOUT	WHEN IT FITS
CRAT — Charitable Remainder Annuity Trust	Fixed dollar annuity (5%–50% of initial value), paid for life or term.	Donors who prefer a fixed income stream and are confident in the probability-of-exhaustion test.
CRUT — Standard Charitable Remainder Unitrust	Fixed percentage (5%–50%) of the trust's annual revalued market value.	Donors seeking an inflation-adjusted income and who expect ongoing portfolio growth.
NICRUT — Net Income CRUT	Lesser of the unitrust amount or actual net income for the year.	Situations where the contributed property is illiquid at funding (e.g., undeveloped real estate).
NIMCRUT — Net Income with Makeup CRUT	NICRUT with a make-up provision when income later exceeds the unitrust amount.	Pre-retirement 'income-in-waiting' strategies with closely-held business interests.
Flip CRUT	Starts as NICRUT/NIMCRUT; converts to standard CRUT upon a defined triggering event.	Contributions of hard-to-value or illiquid assets that will become marketable upon a defined event.

IRC §170(F)(2)(B)

Charitable lead trusts

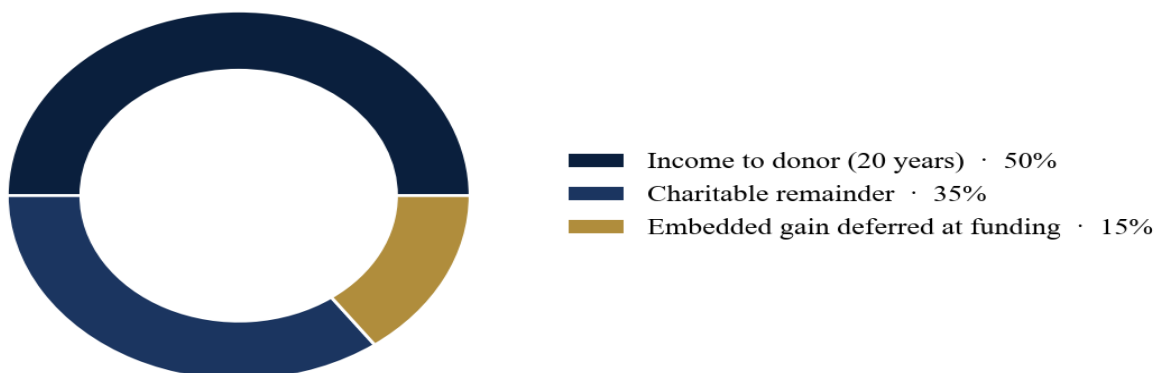
A charitable lead trust is the mirror image of a CRT: the trust pays a fixed annuity (CLAT) or unitrust amount (CLUT) to charity for a term of years, and the remainder passes to non-charitable beneficiaries — typically family members. CLTs are often structured as 'grantor' trusts (producing an up-front income-tax deduction to the donor while the donor is taxed on trust income) or 'non-grantor' trusts (no up-front deduction, but the trust itself pays tax on income). In a low §7520-rate environment, a 'zeroed-out' CLAT can transfer the trust's appreciation to family with minimal gift-tax consequence.

WHERE THE DOLLARS FLOW

Illustrative economics — a funded CRUT

The allocation below illustrates the approximate economics of a standard 5% CRUT funded with \$1 million of appreciated securities, assuming a 20-year term and a 6% annualized portfolio return. Actual outcomes vary with market conditions, payout rate, and term; use the figures only to visualize the structure.

CRUT — illustrative economic composition



ASSET ALLOCATION AND THE PRUDENT-INVESTOR RULE

The investment program for a CRT or CLT must be calibrated to the payout obligation, the anticipated term, and the duty of impartiality between income and remainder beneficiaries. Cumulus manages CRT and CLT assets under the Uniform Prudent Investor Act and a written investment policy statement.

WHAT CUMULUS DELIVERS

Fiduciary responsibilities

Administration

- Registration of contributed property in the trust's name and obtainment of a federal Employer Identification Number (EIN).
- Calculation and timely payment of the annuity or unitrust amount to non-charitable beneficiaries.
- Distribution to the named charitable beneficiaries in accordance with the trust terms.
- Annual preparation of Form 5227 (Split-Interest Trust Information Return) and any required Form 1041-A or state equivalents.
- Beneficiary Schedule K-1s, four-tier accounting under IRC §664(b), and state fiduciary reporting.

Investment and compliance

- Investment under the prudent-investor rule and the trust's written investment policy.
- Avoidance of self-dealing under IRC §4941 and other private-foundation excise taxes under IRC §§4942–4945.
- Monitoring of the 10% remainder test at funding and the 5% probability-of-exhaustion test for CRATs (Rev. Rul. 77-374).
- Coordination with the donor's tax professional on the charitable deduction, the §7520 rate used, and the present-value computation.
- Coordination with qualified charitable beneficiaries on remainder distribution logistics.

TRANSPARENT, TIERED

Fees



Charitable trusts are administered under the same tiered fee schedule as the Cumulus Trust Administration program. Fees are calculated on the quarterly market value of trust assets and debited quarterly in arrears. A one-time setup fee of \$2,500 applies; the minimum annual fee is \$5,000.

ASSET TIER	ANNUAL FEE
First \$2,000,000	0.95%
Next \$3,000,000 (\$2M–\$5M)	0.75%
Next \$5,000,000 (\$5M–\$10M)	0.55%
Assets above \$10,000,000	0.35%
Minimum annual fee	\$5,000
Setup fee (one-time)	\$2,500

COMMON QUESTIONS

Frequently asked questions

How is my charitable deduction calculated at funding?

For a CRT, the deduction is the present value of the remainder interest that will pass to charity, computed using the \$7520 rate published monthly by the IRS and the payout rate, term, and beneficiary ages stated in the trust. For a grantor CLT, the deduction is the present value of the charity's lead interest. The trust must meet the 10% minimum remainder test at funding (CRT) or the actuarial tests applicable to CLTs.

What assets are suitable for a CRT?

Low-basis, appreciated marketable securities, real estate held more than a year, and — with careful planning and often a flip provision — interests in closely-held businesses. Certain assets (S-corp stock, debt-encumbered property, tangible personal property) raise special issues and should be reviewed before contribution.

May I change the charitable beneficiary after funding?

Most CRTs and CLTs reserve the power for the donor (or a trust protector) to substitute one or more qualified charities for the originally-named charity. The power to name a new charity is generally preserved; the power to direct property to a non-charity is not.

What is the private-foundation parallel to a charitable trust?

A private family foundation is a separately-incorporated tax-exempt entity, typically funded with a lump-sum gift, that supports charities over multiple years. Compared with a CRT or CLT, a private foundation is more flexible in grant-making but is subject to an annual distribution requirement and the \$4940 excise tax. Cumulus can provide private-foundation administrative services as well.

Are charitable trusts subject to the private-foundation excise tax rules?

Yes. CRTs and CLTs are subject to the self-dealing rules of IRC §4941 and certain other private-foundation rules. Cumulus's administration program is designed to prevent inadvertent prohibited transactions and excise tax exposure.



DISCLOSURES & REGULATORY NOTICES

Important disclosures

- § Investment products and advisory services are offered through Cumulus Investment Services, LLC, a registered broker-dealer (member FINRA / SIPC) and an SEC-registered investment adviser, and an affiliate of Cumulus Bank, N.A.
- § Securities and advisory products: NOT FDIC INSURED · NOT BANK GUARANTEED · MAY LOSE VALUE · NOT A DEPOSIT · NOT INSURED BY ANY FEDERAL GOVERNMENT AGENCY.
- § Asset allocation and diversification do not ensure a profit or protect against loss in a declining market. Past performance is not a guarantee of future results.
- § Before investing, carefully consider the investment objectives, risks, charges, and expenses. Request a prospectus or Form ADV Part 2A disclosure brochure from your Cumulus advisor and read it carefully before investing.
- § Trust services are offered through Cumulus Trust Company, N.A., a national trust bank and affiliate of Cumulus Bank, N.A. Acceptance of a fiduciary appointment is at the discretion of Cumulus Trust Company, N.A. based on review of the trust instrument, the nature of the assets, and applicable law.
- § Charitable trusts are subject to specific drafting and operational requirements under IRC §§664 and 170(f)(2). The income-tax, capital-gain, and transfer-tax benefits described depend on strict compliance with those requirements.
- § Cumulus does not provide legal or tax advice. The actuarial calculations referenced in this brochure use the \$7520 rate published monthly by the IRS and vary over time. Consult your tax professional and legal counsel before establishing or funding a charitable trust.
- § A charitable remainder trust is irrevocable. Property contributed cannot be returned to the donor; payments to the non-charitable beneficiary are the exclusive mechanism for realizing value other than through distribution to charity.

NEXT STEPS

Speak with a Cumulus wealth advisor

A Cumulus advisor will review your objectives, time horizon, and tax considerations; explain the products and services available to you; and deliver a written proposal. Requests received today are typically returned within one business day.

ADVISOR LINE

954.417.2880

Client Services, Mon–Fri 7:00 a.m. – 9:00 p.m. ET · Sat 8:00 a.m. – 5:00 p.m. ET

ONLINE

cumulusbank-demo-bb054209d76d.herokuapp.com

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PRIVATE OFFICE

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